

Claim Fraud Policy

Formal RAG knowledge content for fraud identification, investigation, and claim handling

Purpose

Define when a claim should be flagged for potential fraud review and describe the required handling of a flagged claim. A fraud indicator signals the need for investigation; it does not by itself establish that fraud occurred.

Fraud Indicators and Required Actions

Fraud indicator	Required action
Multiple claims submitted within a short period	Flag the claim for fraud review.
Claim amount significantly exceeds historical activity	Flag the claim for fraud review.
Duplicate or reused supporting documents	Flag the claim and validate the documents.
Inconsistent customer, policy, loss, or event information	Flag the claim for investigation.
Repeated claims across multiple policies	Review the pattern and refer the claim for investigation.
Other unusual or suspicious claim patterns	Document the indicator and initiate fraud review.

Core Policy Rules

- A detected fraud indicator requires further review, but it is not proof of fraud.
- A flagged claim must be routed to the designated fraud investigation function or Special Investigation Unit (SIU).
- Payment must remain on hold while the fraud investigation is pending.
- If fraud is not confirmed, remove or resolve the fraud hold and return the claim to the normal processing workflow.
- If fraud is confirmed, deny or escalate the claim according to the organization's authorized legal and compliance procedures.

RAG Question and Answer Examples

Q1. What is claim fraud?

Answer: Claim fraud is an intentional misrepresentation, concealment, or falsification of information to obtain an insurance benefit that would not otherwise be payable.

Q2. When should a claim be flagged for fraud review?

Answer: A claim should be flagged when one or more fraud indicators are detected.

Q3. What are common fraud indicators?

Answer: Examples include multiple claims in a short period, duplicate documents, inconsistent information, unusual claim amounts, suspicious patterns, and repeated claims across policies.

Q4. Does a fraud indicator prove that fraud occurred?

Answer: No. A fraud indicator identifies a claim for further investigation but does not establish fraud by itself.

Q5. What happens after a claim is flagged?

Answer: The claim is routed to the designated fraud investigation function or SIU, and payment is placed on hold.

Q6. Can a claim be paid while fraud review is pending?

Answer: No. Payment must remain on hold until the fraud review is completed.

Q7. What should happen when duplicate supporting documents are detected?

Answer: The claim should be flagged, the documents should be validated, and the claim should be referred for fraud review.

Q8. Can multiple smaller suspicious claims trigger a fraud investigation?

Answer: Yes. A suspicious cumulative pattern may trigger fraud review even when each individual claim appears normal.

Q9. What happens when fraud is confirmed?

Answer: The claim may be denied or escalated under the organization's authorized legal, compliance, and investigation procedures.

Q10. What happens when fraud is not confirmed?

Answer: The fraud hold is resolved and the claim returns to the normal claim processing workflow.

Example Scenarios

Scenario	Policy response
Three claims are submitted within seven days using identical receipts.	Flag the claims for fraud review because duplicate documentation and concentrated claim activity are fraud indicators.
The current claim amount is substantially higher than the customer's historical claims.	Flag the claim for investigation because the amount is unusual compared with prior activity.
Customer and loss information are consistent and no fraud indicator is detected.	Continue the normal claim workflow without a fraud hold.

Fraud Decision Logic

```
IF FraudIndicatorsDetected = TRUE
THEN
    FraudReviewRequired = YES
    Route claim to the designated investigation function or SIU
    Hold payment
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ELSE

Continue normal claim processing

Scope note: This knowledge document provides sample rules for a RAG demonstration. It does not replace an organization's approved fraud, privacy, legal, compliance, investigation, or evidence-handling procedures.